

easier, and [Table 74.1](#) lists them.

Rising wedges can form anywhere. You might expect them to form at the end of a long uptrend and that is indeed the case most of the time. Occasionally, price is heading downward and a rising wedge forms as a retrace against the downward trend. After the breakout, price resumes falling.

[Table 74.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Draw two trendlines, one along the minor highs and one along the minor lows. The trendlines must both slope upward and converge.
Multiple touches	Well-formed rising wedges have price touching the two trendlines at least 5 times (three on one side and two on the other). The touches should be at minor highs or minor lows, not when price slices through a trendline.
Whitespace	Price must cross the wedge from top to bottom plenty of times, filling the pattern with price movement, and not leaving a lot of whitespace behind.
Volume	Volume usually trends downward throughout the wedge.
Breakout direction	Can break out in any direction when price closes outside the trendline boundary.
Duration	A rising wedge has a minimum duration of 3 weeks. Anything less is a pennant, provided it is attached to a flagpole. Wedges rarely exceed 3 or 4 months long.

Appearance. Refer to the rising wedges pictured in [Figure 74.2](#) as I discuss the guidelines. You probably first notice the up-sloping trendlines. Both trendlines in the wedge must slope upward, and no near-horizontal trendlines are allowed (a horizontal top trendline indicates an ascending triangle).

Price moves upward, forming higher highs and higher lows, but two trendlines bound the price action and converge. Rarely does price move outside the two trendlines until the final breakout.